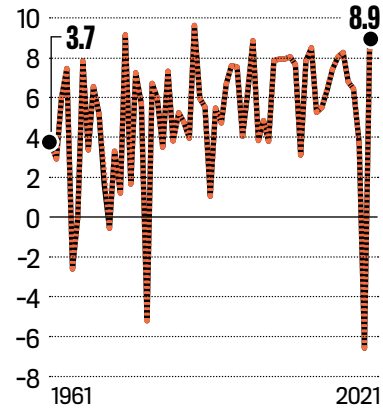


MANDAR DEODHAR

THE LONG MARCH

It was only in the 1980s that India started showing some consistent signs of good growth

GDP GROWTH–INDIA
(Annual %)

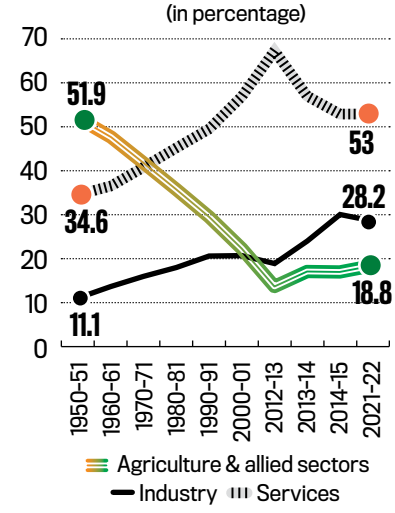


Source: World Bank national accounts data and OECD

ENGINES OF GROWTH

Agriculture sees its share dip while services and manufacturing raise their hand

CONTRIBUTION TO GDP
(in percentage)



Note: % share to GVA (gross value added)

A FINE BALANCE

India has recording sustained trade deficits since 1980 due to the strong imports growth

EXPORT IMPORT
($ billion)



dia's manufacturing capabilities. The mid-'80s saw a leap in information technology and telecom. The 1990s saw liberalisation following the balance of payments crisis in 1991, the abolition of the Licence Raj and extensive reforms in the financial sector. The measures increased the competitiveness of the domestic industry, promoted foreign trade and encouraged the private sector and multinationals to invest in the country. The annual GDP growth rate went up to 6.1 per cent during the 1990s.

The present government's first stint (2014-19) was marked by the implementation of the Goods and Services Tax (GST) in July 2017. It also introduced the Insolvency and Bankruptcy Code in 2016, making it possible for lenders to oust errant promoters and retrieve at least part of their money. In its second stint starting 2019, the Narendra Modi-led government had to grapple with the Covid-19 pandemic, resorting to one of the strictest lockdowns in the world and a Rs 20 lakh crore Aatmanirbhar Bharat Abhiyan to help individuals and firms tide over the crisis. The economy, which was already tottering with sub-5 per cent growth for many quarters, also went into its fifth recession since iIndependence. It has now made a recovery, showing a growth of 4.1 per cent in the January-March quarter of 2021-22. The growth is still not broad-based, say economists, and private investment and consumption are lagging. However, the country remains a bright spot on the global stage where some nations are likely to see a recession, considering the uncertainty created by the Russian invasion of Ukraine. ■

GDP HAS SHOT UP FROM ₹2.7 LAKH CRORE IN 1947 TO $3.2 TRILLION (₹251.3 LAKH CRORE) IN 2021-22

SERVICES SECTOR BECOMES LARGEST CONTRIBUTOR TO THE ECONOMY, NOW ACCOUNTS FOR 53% OF GDP

FOREX RESERVES HAVE GROWN FROM $1.8 BN (1951-52) TO $573 BN (TILL AUG. 2022)

Graphics by **TANMOY CHAKRABORTY, ASIT ROY AND SANTOSH SHARMA**